

Every promotional run above sold far more units but at a negative gross margin — discounting grew volume and deepened the loss.

PRESENTATION SUMMARY

Key findings from the dataset

Sales of R186.9m against R194.0m of cost of sales — a R-7.1m gross result (-3.8% margin).

Every unit sold loses R1.35 at an average price of R35.40.

607 of 1053 trading days (58%) were loss-making.

Worst year 2015 at -6.1%; 2016 improved to -2.0%.

Last six months: R-81k profit at -0.4% margin.

Sat peaks at R279k/day; Fri–Sat run 82% above other days.

01

Raise price ~3.8%

A R1.35 uplift per unit restores break-even at today's volume. Phase it in and measure volume response.

02

Renegotiate cost of sales

Cost of sales is R194.0m. A 4% buying-cost reduction is worth roughly R7.8m over the period.

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Set a margin floor

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Renegotiate cost of sales

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03

Set a margin floor

607 days traded below zero margin. Block below-cost selling with a hard minimum gross-profit rule at till level.

04

Stop buying turnover

2016 sold less and lost less than 2014. Reward margin, not revenue, in targets and incentives.

05

Concentrate on Fri-Sat

Fri-Sat average R262k per day vs R144k elsewhere. Put stock, staff and promotions where volume already is.

06

Run controlled price tests

Median elasticity of -5.8 across 1052 days is too noisy to trust. Test on a small basket for 4-6 weeks.

SALES CASE STUDY · VALUES IN SOUTH AFRICAN RAND

Sales & Profitability Dashboard

1053 trading days from 2013-12-30 to 2016-11-16. Pricing, margin, volume and elasticity performance across the full period.

 Presentation & recommendations

TOTAL SALES

R186.9m

Cost of sales R194.0m

TOTAL PROFIT

R-7.1m

Gross profit -3.81%

AVG SELLING PRICE / UNIT

R35.40

5 279 872 units sold

PROFIT / UNIT

R-1.35

-0.87% avg daily profit per unit

AVG DAILY SALES

R178k

5 014 units / day

AVG DAILY GROSS PROFIT %

-0.87%

TOTAL QUANTITY SOLD

5 279 872

MEDIAN ELASTICITY

-5.8

1052 usable observations

Sales trend over time

Daily sales with 30-day rolling average (R

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TOTAL QUANTITY SOLD

5 279 872

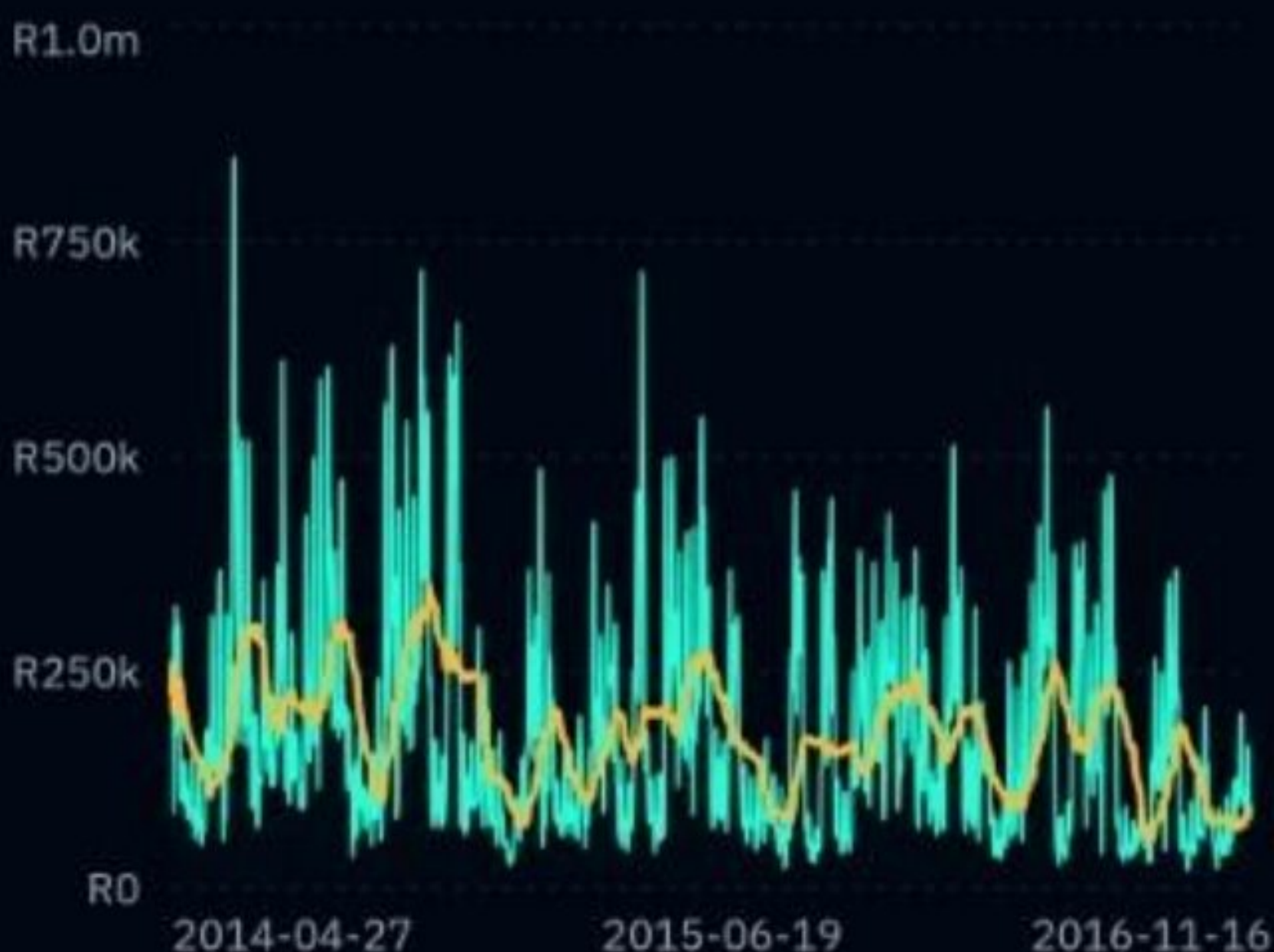
MEDIAN ELASTICITY

-5.8

1052 usable observations

Sales trend over time

Daily sales with 30-day rolling average (R)



Monthly sales vs cost of sales

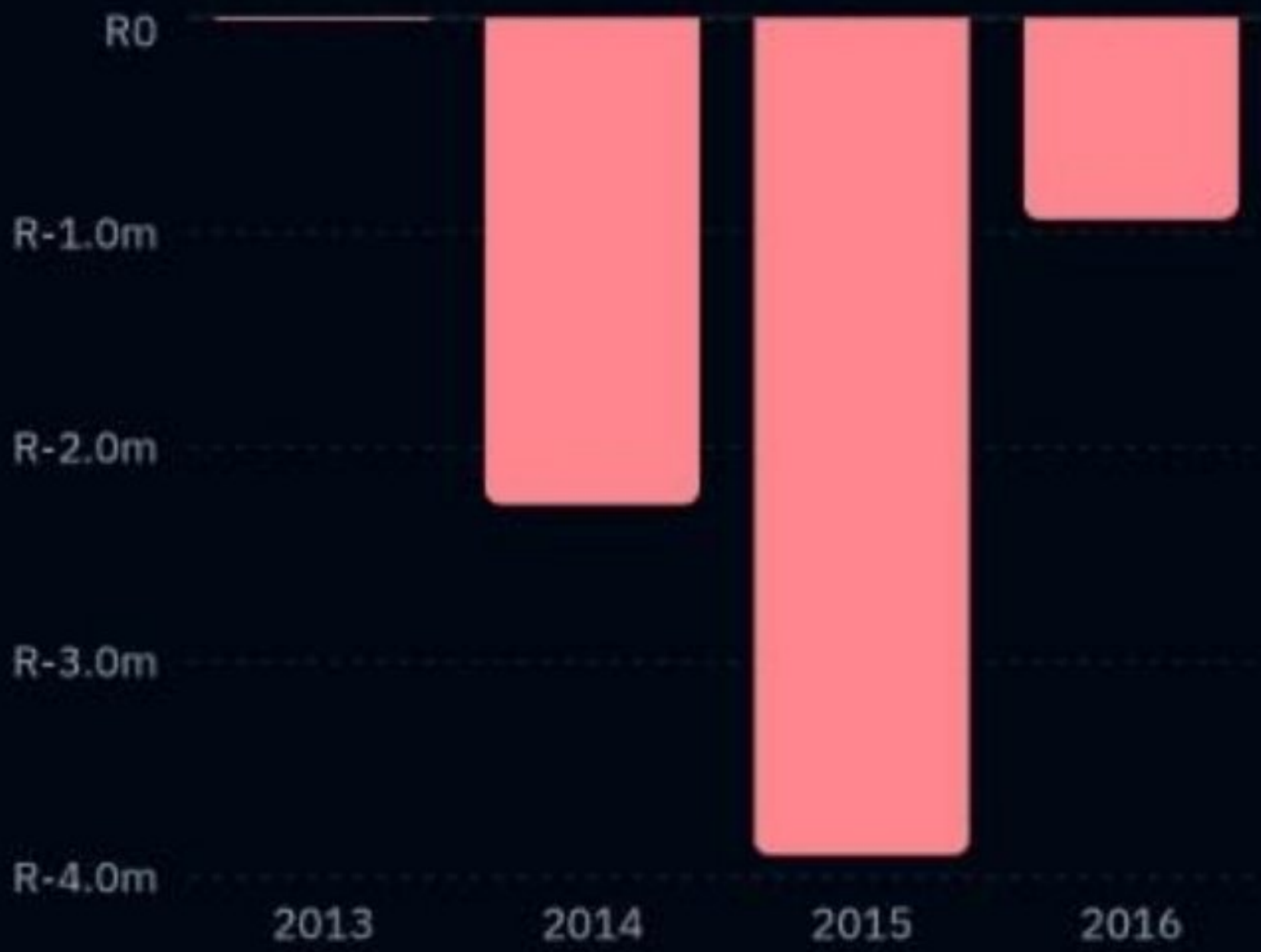
Rand per month





Profit by year

Gross profit in Rand per calendar year



Total profit by month

Gross profit by calendar month, Jan-Dec (all years combined)



Monthly profit over time

Monthly profit over time

Gross profit per month across the full period (R)



Cumulative sales growth

Running total of sales (R)



Daily price per unit

Average selling price per unit, per day (R)



Daily price per unit

Average selling price per unit, per day (R)



Daily gross profit %

Margin on sales, per day



Daily gross profit % per unit

Profit per unit as % of unit price



Daily gross profit % per unit

Profit per unit as % of unit price



Daily quantity sold trend

Units sold per day



Sales vs average daily sales

Daily sales against the period average of R178k



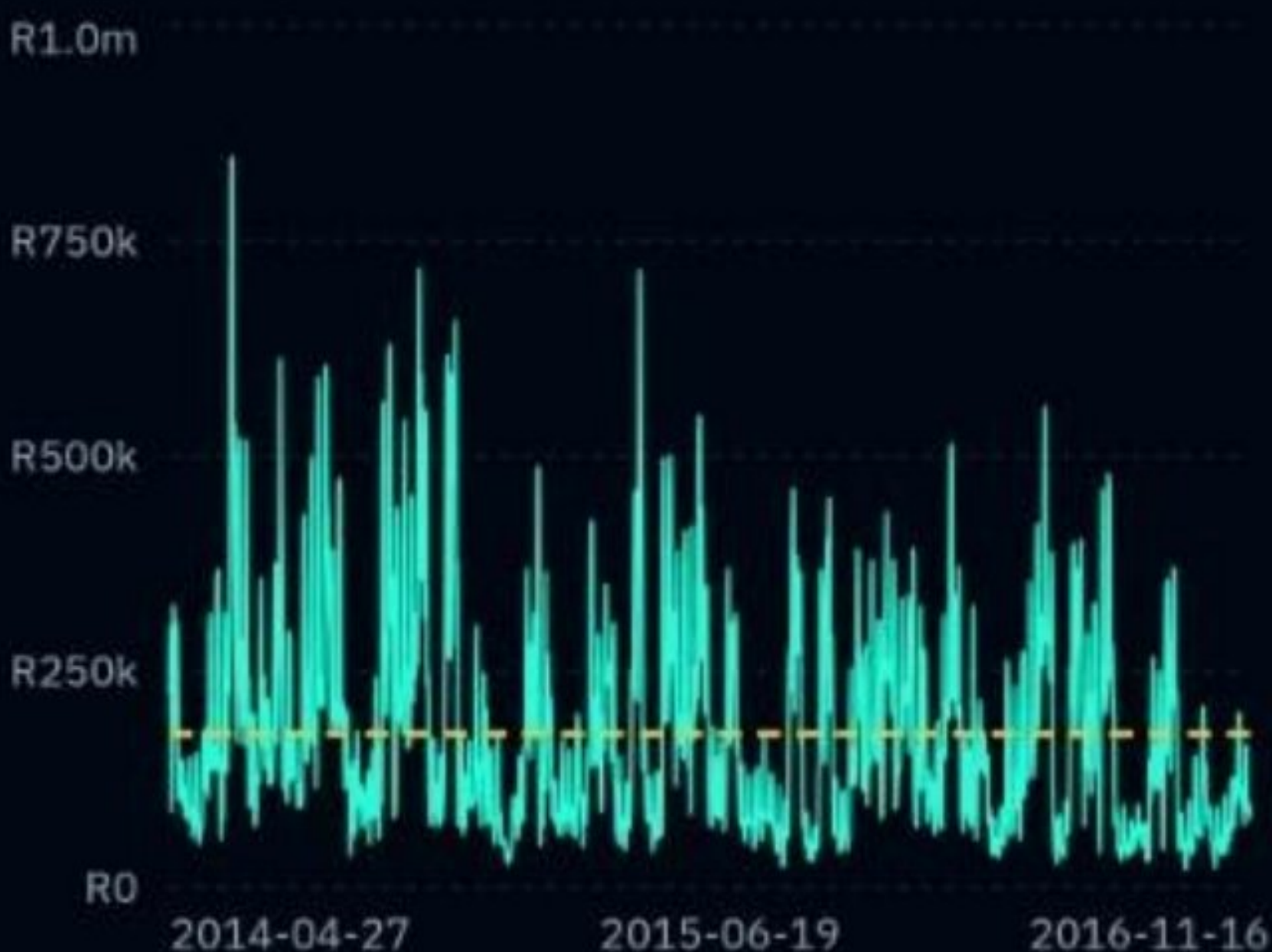
2014-04-27

2015-06-19

2016-11-16

Sales vs average daily sales

Daily sales against the period average of R178k



Total quantity sold by month

Units per month



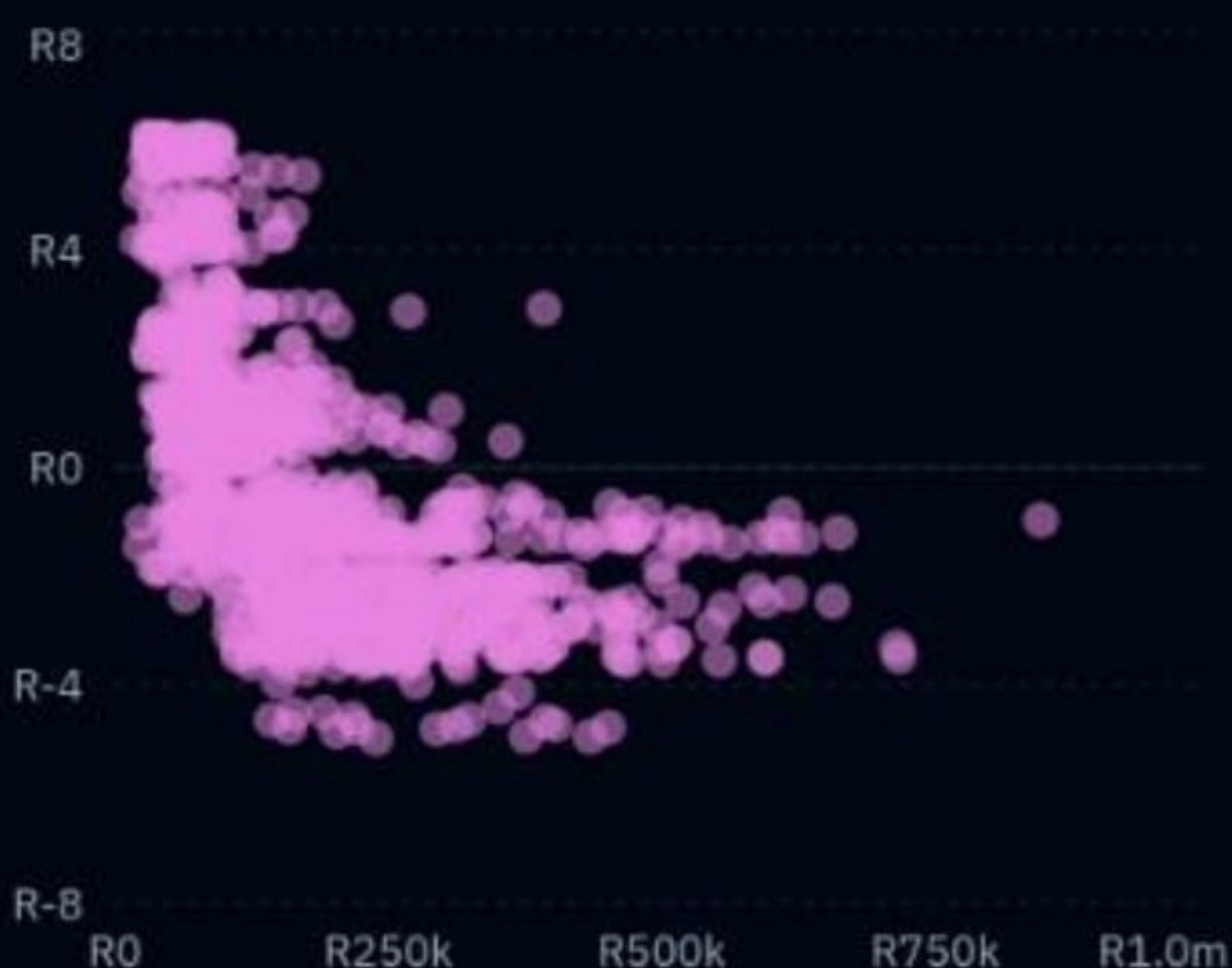
Profit per unit vs sales

Each point is one trading day (R)

R8

Profit per unit vs sales

Each point is one trading day (R)



Gross profit % distribution by month

Monthly average with daily min-max range



Average sales by day of week

Mean daily sales (R)



Average sales by day of week

Mean daily sales (R)



Distribution of elasticity

Binned between -200 and 200 · 586 extreme values clipped



PROMOTIONAL PERIODS

Price elasticity of demand during discount runs

Stretches of 3+ consecutive days where the average

PROMOTIONAL PERIODS

Price elasticity of demand during discount runs

Stretches of 3+ consecutive days where the average selling price fell at least 3% below the preceding 30-day price. Elasticity = % change in units ÷ % change in price; a value below -1 means demand reacted more than price.

PERIOD	DAYS	PROMO PRICE
2016-04-07 → 2016-05-04	28	R34.67
2016-01-22 → 2016-02-08	18	R34.07
2015-03-24 → 2015-04-06	14	R37.75
2015-06-24 → 2015-07-07	14	R37.79
2015-08-25 → 2015-09-07	14	R34.23
2015-09-23 → 2015-10-06	14	R33.40
2016-05-24 → 2016-06-06	14	R34.33
2016-06-23 → 2016-07-06	14	R33.39
2016-08-24 → 2016-09-06	14	R34.13
2014-05-09 → 2014-05-21	13	R32.30
2014-08-27 → 2014-09-08	13	R30.74
2015-02-10 → 2015-02-22	13	R37.71

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